Practice workbook · Partners' current and capital accounts

Writing up a partner's current account (and capital account where asked) from the appropriation figures and drawings, and interpreting its balance.

11 question parts: 1 worked-example retry and 10 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-PIR-05

1. Question 2 · part b.i · 8 marks

2022 JUN · Paper 02

Worked-example retry · Attempt part b.i only.

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2 Carl and Ming are in partnership sharing profits and losses equally. The partnership agreement also provided for:

- interest on opening capital at 8% per annum
- interest on total drawings at 9% per annum
- a salary for Ming of $18 000 per annum.

	Balances at 1 April 2021		Year ended 31 March 2022
	Capital Account $	Current Account $	Drawings $
Carl	75 000	3 150	24 000
Ming	50 000	900	26 000

On 1 January 2022 the partnership purchased a machine costing $10 000. This was fully funded by a 10% bank loan.

This transaction has not yet been entered in the books of account.

Depreciation is charged on machinery at 15% per annum using the straight-line method. A full year's depreciation is charged in the year of acquisition.

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1. Question 2 · part b.i · 8 marks

2022 JUN · Paper 02

Worked-example retry · Attempt part b.i only.

(a) Complete the income statement and appropriation account for the year ended 31 March 2022.

(8)

Carl and Ming
Income statement and appropriation account for the year ended 31 March 2022

	$	$
Draft profit for the year		42 140
Bank loan interest		
Depreciation charge		
Updated profit for the year		
Share of profit		
Carl		
Ming		

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1. Question 2 · part b.i · 8 marks

2022 JUN · Paper 02

Worked-example retry · Attempt part b.i only.

(b) (i) Prepare the current account of Ming for the year ended 31 March 2022.
Balance the account on this date and bring the balance down on 1 April 2022.

(8)

Current Account – Ming

Date	Details	$	Date	Details	$

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1. Question 2 · part b.i · 8 marks

2022 JUN · Paper 02

Worked-example retry · Attempt part b.i only.

(ii) State what a **credit** balance on a partner's current account means.

(1)

(iii) State how a **debit** balance on a partner's current account may arise.

(1)

The partners believed that the liquidity of the business had improved and provided the following ratios.

Ratio	2021	2022
Current (working capital)	1.89:1	1.56:1
Liquid (acid test)	0.81:1	1.01:1

(c) (i) State the formula for **each** ratio.

(2)

Ratio	Formula
Current (working capital)	
Liquid (acid test)	

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1. Question 2 · part b.i · 8 marks · Working and answer

Working and answer

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2. Question 8 · part whole · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part whole only.

8 Which account will partnership drawings be debited to?

- ☒ **A** Appropriation
- ☒ **B** Bank
- ☒ **C** Capital
- ☒ **D** Current

(Total for Question 8 = 1 mark)

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Working and answer

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3. Question 2 · part b.i · 6 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part b.i only.

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2 Taimur and Soha are in partnership. The partnership agreement provided for:

- interest on capital at 10% per annum
- interest on drawings at 5% per annum
- an annual salary of $15 000 for Taimur
- profits and losses to be shared in the ratio of 3 : 2.

The following information was available at 31 March 2020.

	Taimur $	Soha $
Capital account at 1 April 2019	75 000	50 000
Current account at 1 April 2019	4 750 Dr	3 500
Drawings for the year	20 000	16 000

(a) Prepare the appropriation account for the year ended 31 March 2020.

(7)

Taimur and Soha
Appropriation account for the year ended 31 March 2020

	$
Profit for the year	65 000

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3. Question 2 · part b.i · 6 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part b.i only.

(b) (i) Prepare the current account of Taimur for the year ended 31 March 2020.
Balance the account on this date and bring the balance down on 1 April 2020.

(6)

Current Account – Taimur

Date	Details	$	Date	Details	$

(ii) State **one** reason why a debit balance may arise on a partner's current account.

(1)

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3. Question 2 · part b.i · 6 marks · Working and answer

Working and answer

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4. Question 1 · part b · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part b only.

1 Muneeb and Javeed are in partnership sharing profits and losses in the ratio of 2:1.

The partnership agreement provides for:

- interest on capital at 10% per annum
- an annual salary of $12 000 for Muneeb.

The partners provided the following information for the year ended 31 March 2020.

1 April 2019	**$**
Capital account Muneeb Javeed	 100 000 50 000
Current account Muneeb Javeed	 5 750 Dr 2 800
31 March 2020	
Allowance for irrecoverable debts	3 000
Cash and cash equivalents	1 145
Inventory	46 475
Other payables	600
Other receivables	1 040
Non-current assets – carrying value	100 000
Trade payables	25 850
Trade receivables	34 590
Drawings for the year Muneeb Javeed	 42 500 28 750

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4. Question 1 · part b · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part b only.

(a) Prepare the appropriation account for the year ended 31 March 2020.

(5)

Muneeb and Javeed
Appropriation account for the year ended 31 March 2020

	$	$
Profit for the year		**78 000**

(b) Prepare the current account of Muneeb for the year ended 31 March 2020.
Balance the account on that date and bring the balance down on 1 April 2020.

(6)

Current Account – Muneeb

Date	Details	$	Date	Details	$

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4. Question 1 · part b · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part b only.

The balance on Javeed's current account at 31 March 2020 was $3 950 **debit**.

(c) Prepare the statement of financial position at 31 March 2020.

(14)

Muneeb and Javeed
Statement of financial position at 31 March 2020

	$	$	$
Assets			
Non-current assets			
Current assets			
Total assets			
Equity and liabilities			
Equity	Muneeb	Javeed	
Total equity			
Current liabilities			
Total equity and liabilities			

(Total for Question 1 = 25 marks)

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4. Question 1 · part b · 6 marks · Working and answer

Working and answer

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5. Question 2 · part c · 6 marks

2021 NOV · Paper 02

Further practice · Attempt part c only.

2 (a) State **one** advantage and **one** disadvantage of forming a partnership.

(2)

Advantage

.....

.....

Disadvantage

.....

.....

Able and Beena are in partnership sharing profits and losses in the ratio 3:1.

The partnership agreement also provided for:

- interest on capital at 8% per annum
- interest on drawings at 10% per annum
- an annual salary of $7 200 for Beena.

The following information was available at 1 May 2020

Account	Able $	Beena $
Capital	75 000	25 000
Current	1 500	2 750 Dr

For the year ended 30 April 2021 profit for the year was $26 550 and total drawings were Able $16 000, Beena $10 500

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5. Question 2 · part c · 6 marks

2021 NOV · Paper 02

Further practice · Attempt part c only.

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(b) Prepare the appropriation account for the year ended 30 April 2021.

(8)

Able and Beena
Appropriation account for the year ended 30 April 2021

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5. Question 2 · part c · 6 marks

2021 NOV · Paper 02

Further practice · Attempt part c only.

(c) Prepare Beena's current account for the year ended 30 April 2021. Balance the account on that date and bring the balance down on 1 May 2021.

(6)

Current Account – Beena

Date	Details	$	Date	Details	$

(d) State **one** reason why a partner may have a debit balance in their current account.

(1)

(e) State, indicating with a tick (✓), the effect, if any, each transaction would have on a partnership's profit for the year.

(3)

Transaction	Increase	Decrease	No effect
A partner withdraws goods for their own use.			
A partner purchases stationery for the business from their own monies.			
A partner introduces capital into the business.			

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5. Question 2 · part c · 6 marks · Working and answer

Working and answer

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6. Question 2 · part c · 8 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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2 On 1 January 2022 Belen and Charo started a partnership with capital introduced of $80 000 and $90 000 respectively.

The partnership agreement provides for:

- profits and losses to be shared equally
- interest of 5% per annum on opening capital balances
- interest of 8% per annum on total drawings
- a salary of $2 000 per **month** for Charo.

(a) State **one** reason why a partnership agreement provides for:

(i) interest on capital

(1)

(ii) interest on drawings

(1)

(iii) partnership salary.

(1)

Profit for the year ended 31 December 2022 was $66 200 and the partners made the following drawings.

Partner	Cash drawings $	Goods taken for own use $
Belen	20 000	–
Charo	36 000	2 000

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6. Question 2 · part c · 8 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

(b) Prepare the appropriation account for the year ended 31 December 2022.

(8)

Belen and Charo
Appropriation Account for the year ended 31 December 2022

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6. Question 2 · part c · 8 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

(c) Prepare the following accounts for the year ended 31 December 2022. Balance each account on this date and bring the balance down on 1 January 2023.

(8)

Capital Account – Charo

Date	Details	$	Date	Details	$

Current Account – Charo

Date	Details	$	Date	Details	$

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6. Question 2 · part c · 8 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

The partners provided the following information for the year ended 31 December 2022.

Ratio	Actual percentage	Budgeted percentage
Gross profit percentage	50%	60%
Profit for the year as a percentage of revenue	25%	20%

The partners believe that overall profitability has exceeded their expectations.

(d) Evaluate whether the partners are correct that profitability has exceeded their expectations.

(5)

(e) State **one other** profitability ratio.

(1)

(Total for Question 2 = 25 marks)

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6. Question 2 · part c · 8 marks · Working and answer

Working and answer

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7. Question 2 · part d · 8 marks

2023 JUN · Paper 02

Further practice · Attempt part d only.

2 (a) Explain why it is advisable to draw up a partnership agreement when forming a new partnership.

(3)

Joan and Lewis are in partnership sharing profits and losses equally.

The partnership agreement provides for:

- interest of 8% per annum on opening capital balances
- an annual salary of $17 000 for Lewis
- interest of 5% per annum on total drawings
- interest of 6% per annum on partnership loans.

(b) Explain **one** reason why a partner may decide to provide a loan to the partnership rather than investing more capital.

(2)

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7. Question 2 · part d · 8 marks

2023 JUN · Paper 02

Further practice · Attempt part d only.

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The partners provided the following information.

At 1 January 2022	$
Capital account	
Joan	85 000
Lewis	75 000
Current account	
Joan	2 760
Lewis	3 900
Partnership loan	
Lewis	10 000
At 31 December 2022	
Cash drawings	
Joan	5 000
Lewis	7 000

The draft profit for the year ended 31 December 2022 was $56 800 before adjusting for the following errors and omissions.

- Lewis's annual salary had been included in staff salaries.
- Goods taken by Joan for her own use $1 000
- Interest on the partnership loan.

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7. Question 2 · part d · 8 marks

2023 JUN · Paper 02

Further practice · Attempt part d only.

(c) Prepare the appropriation account for the year ended 31 December 2022.

(12)

Joan and Lewis
Appropriation account for the year ended 31 December 2022

	$	$
Draft profit for the year		**56 800**
Adjusted profit for the year		

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7. Question 2 · part d · 8 marks

2023 JUN · Paper 02

Further practice · Attempt part d only.

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(d) Prepare the current account of Lewis for the year ended 31 December 2022. Balance the account on this date and bring the balance down on 1 January 2023.

(8)

Current Account – Lewis

Date	Details	$	Date	Details	$

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(Total for Question 2 = 25 marks)

7. Question 2 · part d · 8 marks · Working and answer

Working and answer

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8. Question 2 · part b.ii · 1 mark

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part b.ii only.

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2 Taimur and Soha are in partnership. The partnership agreement provided for:

- interest on capital at 10% per annum
- interest on drawings at 5% per annum
- an annual salary of $15 000 for Taimur
- profits and losses to be shared in the ratio of 3 : 2.

The following information was available at 31 March 2020.

	Taimur $	Soha $
Capital account at 1 April 2019	75 000	50 000
Current account at 1 April 2019	4 750 Dr	3 500
Drawings for the year	20 000	16 000

(a) Prepare the appropriation account for the year ended 31 March 2020.

(7)

Taimur and Soha
Appropriation account for the year ended 31 March 2020

	$
Profit for the year	65 000

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8. Question 2 · part b.ii · 1 mark

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part b.ii only.

(b) (i) Prepare the current account of Taimur for the year ended 31 March 2020.
Balance the account on this date and bring the balance down on 1 April 2020.

(6)

Current Account – Taimur

Date	Details	$	Date	Details	$

(ii) State **one** reason why a debit balance may arise on a partner's current account.

(1)

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8. Question 2 · part b.ii · 1 mark

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part b.ii only.

The partners believe that they had a very successful year as the profit for the year as a percentage of revenue has increased.

	2019	2020
Gross profit percentage	25%	25%
Profit for the year as a percentage of revenue	12%	15%
Return on capital employed	13.5%	10%

(c) Evaluate the change in profitability of the business over the two years and state whether the partners are correct.

(5)

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8. Question 2 · part b.ii · 1 mark · Working and answer

Working and answer

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9. Question 2 · part d · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part d only.

2 (a) State **one** advantage and **one** disadvantage of forming a partnership.

(2)

Advantage

.....

.....

Disadvantage

.....

.....

Able and Beena are in partnership sharing profits and losses in the ratio 3:1.

The partnership agreement also provided for:

- interest on capital at 8% per annum
- interest on drawings at 10% per annum
- an annual salary of $7 200 for Beena.

The following information was available at 1 May 2020

Account	Able $	Beena $
Capital	75 000	25 000
Current	1 500	2 750 Dr

For the year ended 30 April 2021 profit for the year was $26 550 and total drawings were Able $16 000, Beena $10 500

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9. Question 2 · part d · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part d only.

(b) Prepare the appropriation account for the year ended 30 April 2021.

(8)

Able and Beena
Appropriation account for the year ended 30 April 2021

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9. Question 2 · part d · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part d only.

(c) Prepare Beena's current account for the year ended 30 April 2021. Balance the account on that date and bring the balance down on 1 May 2021.

(6)

Current Account – Beena

Date	Details	$	Date	Details	$

(d) State **one** reason why a partner may have a debit balance in their current account.

(1)

.....

.....

(e) State, indicating with a tick (✓), the effect, if any, each transaction would have on a partnership's profit for the year.

(3)

Transaction	Increase	Decrease	No effect
A partner withdraws goods for their own use.			
A partner purchases stationery for the business from their own monies.			
A partner introduces capital into the business.			

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9. Question 2 · part d · 1 mark · Working and answer

Working and answer

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10. Question 2 · part b.ii · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part b.ii only.

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2 Carl and Ming are in partnership sharing profits and losses equally. The partnership agreement also provided for:

- interest on opening capital at 8% per annum
- interest on total drawings at 9% per annum
- a salary for Ming of $18 000 per annum.

	Balances at 1 April 2021		Year ended 31 March 2022
	Capital Account $	Current Account $	Drawings $
Carl	75 000	3 150	24 000
Ming	50 000	900	26 000

On 1 January 2022 the partnership purchased a machine costing $10 000. This was fully funded by a 10% bank loan.

This transaction has not yet been entered in the books of account.

Depreciation is charged on machinery at 15% per annum using the straight-line method. A full year's depreciation is charged in the year of acquisition.

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10. Question 2 · part b.ii · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part b.ii only.

(a) Complete the income statement and appropriation account for the year ended 31 March 2022.

(8)

Carl and Ming
Income statement and appropriation account for the year ended 31 March 2022

	$	$
Draft profit for the year		42 140
Bank loan interest		
Depreciation charge		
Updated profit for the year		
Share of profit		
Carl		
Ming		

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10. Question 2 · part b.ii · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part b.ii only.

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(b) (i) Prepare the current account of Ming for the year ended 31 March 2022.
Balance the account on this date and bring the balance down on 1 April 2022.

(8)

Current Account – Ming

Date	Details	$	Date	Details	$

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10. Question 2 · part b.ii · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part b.ii only.

(ii) State what a **credit** balance on a partner's current account means.

(1)

(iii) State how a **debit** balance on a partner's current account may arise.

(1)

The partners believed that the liquidity of the business had improved and provided the following ratios.

Ratio	2021	2022
Current (working capital)	1.89:1	1.56:1
Liquid (acid test)	0.81:1	1.01:1

(c) (i) State the formula for **each** ratio.

(2)

Ratio	Formula
Current (working capital)	
Liquid (acid test)	

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10. Question 2 · part b.ii · 1 mark · Working and answer

Working and answer

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11. Question 2 · part b.iii · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part b.iii only.

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2 Carl and Ming are in partnership sharing profits and losses equally. The partnership agreement also provided for:

- interest on opening capital at 8% per annum
- interest on total drawings at 9% per annum
- a salary for Ming of $18 000 per annum.

	Balances at 1 April 2021		Year ended 31 March 2022
	Capital Account $	Current Account $	Drawings $
Carl	75 000	3 150	24 000
Ming	50 000	900	26 000

On 1 January 2022 the partnership purchased a machine costing $10 000. This was fully funded by a 10% bank loan.

This transaction has not yet been entered in the books of account.

Depreciation is charged on machinery at 15% per annum using the straight-line method. A full year's depreciation is charged in the year of acquisition.

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11. Question 2 · part b.iii · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part b.iii only.

(a) Complete the income statement and appropriation account for the year ended 31 March 2022.

(8)

Carl and Ming
Income statement and appropriation account for the year ended 31 March 2022

	$	$
Draft profit for the year		42 140
Bank loan interest		
Depreciation charge		
Updated profit for the year		
Share of profit		
Carl		
Ming		

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11. Question 2 · part b.iii · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part b.iii only.

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(b) (i) Prepare the current account of Ming for the year ended 31 March 2022.
Balance the account on this date and bring the balance down on 1 April 2022.

(8)

Current Account – Ming

Date	Details	$	Date	Details	$

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11. Question 2 · part b.iii · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part b.iii only.

(ii) State what a **credit** balance on a partner's current account means.

(1)

(iii) State how a **debit** balance on a partner's current account may arise.

(1)

The partners believed that the liquidity of the business had improved and provided the following ratios.

Ratio	2021	2022
Current (working capital)	1.89:1	1.56:1
Liquid (acid test)	0.81:1	1.01:1

(c) (i) State the formula for **each** ratio.

(2)

Ratio	Formula
Current (working capital)	
Liquid (acid test)	

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11. Question 2 · part b.iii · 1 mark · Working and answer

Working and answer

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